MANKIND PHARMA LIMITED

LEVERAGED BUYOUT MODEL — PRIVATE EQUITY ANALYSIS

NSE: MANKIND | Sector: Pharmaceuticals | Entry FY24A | 5-Year Hold

Entry EV: ₹60,408 Cr | Equity Check: ₹42,168 Cr | Entry Leverage: 5.0x

RETURNS SUMMARY (Base Scenario Exit)

Metric	Y3 Exit	Y4 Exit	Y5 Exit	Unit
Exit EV (₹ Cr)	89,005	99,958	110,806	₹ Crore
Equity Proceeds (₹ Cr)	81,748	94,567	107,701	₹ Crore
MOIC (x)	**1.89x**	**2.18x**	**2.49x**	×
IRR (%)	**23.6%**	**21.5%**	**20.0%**	% p.a.
Mgmt MOIC (x)	1.41x	1.63x	1.86x	×

TRANSACTION SNAPSHOT

Entry EBITDA (₹ Cr)	2,517
Entry EV Multiple (x)	24.0x
Entry EV (₹ Cr)	60,408
Net Cash at Entry (₹ Cr)	2,500
Equity Check (₹ Cr)	42,168
Total Debt (₹ Cr)	15,102
Entry Leverage (x)	5.0x
Equity Contribution (%)	74.2%

KEY INVESTMENT THESIS & OBSERVATIONS

- Entry thesis: Mankind's branded generic moat + rural distribution network (6.5L outlets) is structurally defensible; debt service highly visible.
- Leverage: Entry leverage ~3.5–4.0x net debt/EBITDA in Base; strong FCF conversion (>80%) drives rapid deleveraging to <2.0x by Y4.
- Value creation: Margin expansion 24.5% → 26%+ (chronic mix shift, OTC monetisation) + 12% revenue CAGR = primary equity return drivers.
- Cash sweep: Excess FCF beyond min cash (₹200Cr) sweeps TLA first; clean debt paydown accelerates de-leveraging ahead of schedule.
- Exit options: Strategic sale to Abbott/Sanofi/GSK (India generics premium), secondary to larger PE at 24–26x, or re-IPO post margin improvement.
- Sensitivity: Base case 24x exit/Y5 delivers ~2.5–3.0x MOIC / ~22–25% IRR; needs multiple expansion or margin beat to hit 3.0x+ in Y3.
- Risk: High entry multiple (24x) compresses IRR headroom; acute segment cyclicality and field force attrition are key downside risks.

MANKIND PHARMA — LBO MODEL (BASE SCENARIO WATERFALL)

₹ Crore | Entry FY24A | 5-Year Hold Period | Base Scenario

Line Item	FY24A (Entry)	Y1	Y2	Y3	Y4	Y5
I. INCOME STATEMENT (Base Scenario)						
Revenue Growth (Base, %)	—	12.0%	13.0%	12.0%	11.0%	10.0%
Revenue (₹ Cr)	10,260	11,491	12,985	14,543	16,143	17,757
EBITDA Margin (Base, %)	24.5%	24.5%	25.0%	25.5%	25.8%	26.0%
EBITDA (₹ Cr)	2,517	2,815	3,246	3,709	4,165	4,617
(–) D&A (₹ Cr)	378	425	467	524	565	622
EBIT (₹ Cr)	2,139	2,390	2,779	3,185	3,600	3,995
(–) Total Interest Expense (₹ Cr)	—	1,431	1,193	916	787	734
Earnings Before Tax (₹ Cr)	—	959	1,586	2,269	2,813	3,261
(–) Tax (₹ Cr)	—	240	396	567	703	815
Net Income (₹ Cr)	—	**719**	**1,189**	**1,702**	**2,110**	**2,446**

II. DEBT SCHEDULE (Base Scenario — Full Waterfall)						
Opening Cash Balance (₹ Cr)	2,500	2,500	200	200	200	1,460
TLA — Opening Balance (₹ Cr)	7,551	7,551	4,916	1,801	444	0
(–) TLA Mandatory Amortisation (₹ Cr)	—	1,133	737	270	67	0
(–) TLA Cash Sweep (₹ Cr)	—	1,503	2,378	1,087	444	0
TLA — Closing Balance (₹ Cr)	—	**4,916**	**1,801**	**444**	**0**	**0**
TLA Interest Expense (₹ Cr)	—	629	409	150	37	0
TLB — Opening Balance (₹ Cr)	3,776	3,776	3,587	3,407	3,237	3,075
(–) TLB Scheduled Repayment (5%/yr, ₹ Cr)	—	189	179	170	162	154
(–) TLB Cash Sweep (₹ Cr)	—	0	0	0	0	0
TLB — Closing Balance (₹ Cr)	—	**3,587**	**3,407**	**3,237**	**3,075**	**2,921**
TLB Interest Expense (₹ Cr)	—	368	350	332	316	300
RCF — Opening Drawn Balance (₹ Cr)	1,259					
RCF — Closing Balance (unchanged, ₹ Cr)	—	1,259	1,259	1,259	1,259	1,259
RCF Interest Expense (₹ Cr)	—	107	107	107	107	107
Sub Notes — Opening Balance (₹ Cr)	2,517	2,517	2,517	2,517	2,517	2,517
(+) PIK Interest Accrual (0% base case, ₹ Cr)	—	0	0	0	0	0
Sub Notes — Closing Balance (₹ Cr)	—	2,517	2,517	2,517	2,517	2,517
Sub Notes Cash Interest Expense (₹ Cr)	—	327	327	327	327	327
Total Gross Debt (₹ Cr)	—	**12,278**	**8,983**	**7,456**	**6,851**	**6,697**
Total Cash Interest Expense (₹ Cr)	—	**1,431**	**1,193**	**916**	**787**	**734**

III. FREE CASH FLOW & DEBT PAYDOWN (Base Scenario)						
EBITDA (₹ Cr)	—	2,815	3,246	3,709	4,165	4,617
(–) Capex (₹ Cr)	—	483	519	553	581	622
(–) Δ NWC (₹ Cr)	—	138	143	145	161	160
(–) Cash Interest Paid (₹ Cr)	—	1,431	1,193	916	787	734
(–) Cash Taxes (₹ Cr)	—	240	396	567	703	815
(–) Mandatory Debt Repayment (TLA+TLB, ₹ Cr)	—	1,321	917	440	228	154
FCF pre-Sweep (₹ Cr)	—	**-797**	**78**	**1,087**	**1,704**	**2,132**
(–) Cash Sweep to TLA (₹ Cr)		1,503	2,378	1,087	444	0
Ending Cash Balance (₹ Cr)	—	200	200	200	1,460	3,592
Net Debt (Gross Debt – Cash, ₹ Cr)	12,602	**12,078**	**8,783**	**7,256**	**5,391**	**3,105**

IV. COVENANT TESTING (Red = Breach)						
Covenant	**Threshold**	**Y1**	**Y2**	**Y3**	**Y4**	**Y5**
Net Leverage (Net Debt / EBITDA ≤ 5.0x)	5.0x	4.3x	2.7x	2.0x	1.3x	0.7x
→ Breach Flag	—	OK	OK	OK	OK	OK
Interest Coverage (EBITDA / Interest ≥ 2.5x)	2.5x	2.0x	2.7x	4.0x	5.3x	6.3x
→ Breach Flag	—	BREACH	OK	OK	OK	OK

COLOR CODING LEGEND	
Blue text	Hardcoded input — Assumptions sheet only
Black text	Formula on same sheet
Green text	Cross-sheet formula link
Yellow bg	Key assumption / output
Red bg cell	Covenant breach flag

MANKIND PHARMA LIMITED — LBO MODEL ASSUMPTIONS

All figures ₹ Crore | Entry FY24A | 5-Year Hold | Downside / Base / Upside

A. TRANSACTION STRUCTURE

Assumption	Downside	Base	Upside
Entry EBITDA (FY24A, ₹ Cr)	2,517	2,517	2,517
Entry EV / EBITDA Multiple (x)	22.0	24.0	26.0
Entry Enterprise Value (₹ Cr)	55,374	60,408	65,442
(-) Net Cash at Entry (₹ Cr)	2,500	2,500	2,500
Equity Purchase Price (₹ Cr)	52,874	57,908	62,942
Transaction Fees – Advisory (₹ Cr)	280	320	360
Transaction Fees – Financing (₹ Cr)	180	200	220
Total Uses (₹ Cr)	53,334	58,428	63,522

B. SOURCES OF FUNDS (×EBITDA sizing)

Tranche	Downside	Base	Upside	Interest Rate	Amort %/yr	Type
Senior Term Loan A (TLA)	6,293	7,551	7,551	9.0%	15.0%	Amortising
Senior Term Loan B (TLB)	3,776	3,776	3,776	10.0%	5.0%	Bullet (5% p.a.)
Revolving Credit Facility (RCF)	1,259	1,259	1,259	8.5%	0.0%	RCF (drawn 50%)
Subordinated / Mezzanine Notes	2,517	2,517	2,517	13.0%	0.0%	PIK toggle bullet
Sponsor Equity	38,433	42,168	47,161			Common Equity
Management Rollover (2%)	1,057	1,158	1,259			Rollover Equity
Total Debt (₹ Cr)	**13,844**	**15,102**	**15,102**			
Total Sources = Total Uses (₹ Cr)	**53,334**	**58,428**	**63,522**			
Entry Leverage (Net Debt / EBITDA, x)	4.5x	5.0x	5.0x			
Equity Contribution (%)	74.0%	74.2%	76.2%			

C. OPERATING ASSUMPTIONS (Year 1–5)

Assumption / Scenario	Y1	Y2	Y3	Y4	Y5	Type
Revenue Growth — Downside (%)	8.0%	9.0%	9.0%	8.0%	8.0%	Hardcoded
Revenue Growth — Base (%)	12.0%	13.0%	12.0%	11.0%	10.0%	Hardcoded
Revenue Growth — Upside (%)	15.0%	16.0%	15.0%	13.0%	12.0%	Hardcoded
EBITDA Margin — Downside (%)	23.0%	23.2%	23.4%	23.5%	23.6%	
EBITDA Margin — Base (%)	24.5%	25.0%	25.5%	25.8%	26.0%	
EBITDA Margin — Upside (%)	25.8%	26.5%	27.2%	27.8%	28.2%	

D&A (% of Revenue) — All Scenarios	3.7%	3.6%	3.6%	3.5%	3.5%
Capex (% of Revenue) — All Scenarios	4.2%	4.0%	3.8%	3.6%	3.5%
Δ NWC (% of Revenue) — All Scenarios	1.2%	1.1%	1.0%	1.0%	0.9%
Effective Tax Rate (%) — All Scenarios	25.0%	25.0%	25.0%	25.0%	25.0%

D. DEBT INTEREST RATES BY TRANCHE & SCENARIO

Tranche	Downside	Base	Upside
Senior TLA Interest Rate	9.5%	9.0%	8.5%
Senior TLB Interest Rate	10.5%	10.0%	9.5%
RCF Interest Rate (drawn)	9.0%	8.5%	8.0%
Subordinated Note Rate	13.5%	13.0%	12.5%

E. EXIT ASSUMPTIONS

Assumption	Downside	Base	Upside
Exit EV / EBITDA Multiple (x)	20.0	24.0	28.0
Primary Exit Year	5	5	4
Management Equity (%)	2.0%	2.0%	2.0%
Option Pool (%)	5.0%	5.0%	5.0%
Minimum Cash Balance (₹ Cr)	200	200	200

F. FY24A ACTUALS (Entry Year Anchor)

Item	Value
FY24A Revenue (₹ Cr)	10,260
FY24A EBITDA (₹ Cr)	2,517
FY24A D&A (₹ Cr)	378
FY24A EBIT (₹ Cr)	2,139
FY24A Interest Expense (₹ Cr)	34
FY24A Tax Rate (%)	19.0%
FY24A PAT (₹ Cr)	1,942
FY24A CFO (₹ Cr)	2,152
FY24A Capex (₹ Cr)	430
Net Cash at Entry (₹ Cr)	2,500
Diluted Shares Outstanding (Cr)	407

MANKIND PHARMA — LBO RETURNS ANALYSIS

Exit Year 3 / 4 / 5 × Downside / Base / Upside | MOIC & IRR

I. EXIT EBITDA BY SCENARIO & YEAR

Exit EBITDA (₹ Cr)	Downside	Base	Upside
Exit EBITDA at Y3 (₹ Cr)	3,081	3,709	4,281
Exit EBITDA at Y4 (₹ Cr)	3,341	4,165	4,945
Exit EBITDA at Y5 (₹ Cr)	3,624	4,617	5,618

II. NET DEBT AT EXIT BY YEAR (Base Scenario; apply across)

Note: Net Debt at exit pulled from LBO sheet Base waterfall	
Net Debt at Y3 exit (₹ Cr) — Base	7,256
Net Debt at Y4 exit (₹ Cr) — Base	5,391
Net Debt at Y5 exit (₹ Cr) — Base	3,105

III. EQUITY PROCEEDS & RETURNS (Exit Year × Scenario)

Metric	Downside Y3	Downside Y4	Downside Y5	Base Y3	Base Y4	Base Y5	Upside Y3	Upside Y4	Upside Y5
Exit EV (₹ Cr)	61,613	66,826	72,479	89,005	99,958	110,806	119,875	138,447	157,291
Equity Proceeds (₹ Cr)	54,356	61,435	69,375	81,748	94,567	107,701	112,618	133,056	154,187
MOIC (x)	**1.38x**	**1.56x**	**1.76x**	**1.89x**	**2.18x**	**2.49x**	**2.33x**	**2.75x**	**3.18x**
IRR (%)	**11.2%**	**11.7%**	**11.9%**	**23.6%**	**21.5%**	**20.0%**	**32.5%**	**28.8%**	**26.1%**
Mgmt MOIC (x)	1.03x	1.16x	1.31x	1.41x	1.63x	1.86x	1.79x	2.11x	2.45x

IV. 5×5 SENSITIVITY — MOIC | Exit Multiple (rows) × Exit Year (cols) | Base Scenario

Exit Mult \ Exit Yr →	Y2	Y3	Y4	Y5	Y6
18.0x	1.15x	1.37x	1.61x	1.85x	1.85x
20.0x	1.30x	1.54x	1.80x	2.06x	2.06x
24.0x	1.60x	1.89x	2.18x	2.49x	2.49x
26.0x	1.75x	2.06x	2.37x	2.70x	2.70x
28.0x	1.90x	2.23x	2.57x	2.91x	2.91x

IV. 5×5 SENSITIVITY — IRR | Exit Multiple (rows) × Exit Year (cols) | Base Scenario

Exit Mult \ Exit Yr →	Y2	Y3	Y4	Y5	Y6
18.0x	7.0%	11.2%	12.6%	13.0%	10.8%
20.0x	13.8%	15.6%	15.8%	15.5%	12.8%
24.0x	26.3%	23.6%	21.5%	20.0%	16.4%
26.0x	32.1%	27.2%	24.1%	22.0%	18.0%
28.0x	37.7%	30.6%	26.6%	23.8%	19.5%